managerial positions and the periodic conversion of those into measurable time bound objectives linked vertically and horizontally and with future planning".

3.02 Objectives of MBO

Management by objectives is intended primarily:

i. to measure and judge performance

ii. to relate individual performance to organisational goals

iii. to clarify both the job to be done and the expectations of accomplishment

iv. to foster the increasing competence and growth of the subordinates

v. to enhance communications between superiors and subordinates

vi. to serve as a basis for judgements about salary and promotion

vii. to stimulate the subordinates' motivation

viii. to serve as a device for organisational control and integration.

3.03 Features of MBO

1. An attempt is made by the management to integrate the goals of an organisation and individuals. This will lead to effective management.
2. MBO tries to combine the long run goals of organisation with short run goals.
3. Management tries to relate the organisation goals with society goals.
4. MBO's emphasis is not only on goals but also on effective performance.
5. It pays constant attention to refining, modifying and improving the goals and changing the approaches to achieve the goals on the basis of experience.
6. It increases the organisational capability of achieving goals at all levels.
7. A high degree of motivation and satisfaction is available to employees through MBO.
8. Recognises the participation of employees in goal setting process.
9. Aims at replacing the exercise of authority with consultations.
10. Encourages a climate of trust, goodwill and a will to perform.

3.04 Process of MBO

The MBO process is characterised by the balance of objectives of the organisation and individual. The process of MBO is explained below:

1. Defining Organisational Objectives

Initially, organisational objectives are framed by the top level employees of an organisation. Then, it moves downwards. The definition of organisational objectives states why the business is started and exists. First, long-term objectives are frames. Then, Short-term objectives are framed taking into account the feasibility of achieving the long-term objectives.

2. Goals of Each Section

Objectives for each section, department or division are framed on the basis of overall objectives of the organisation. Period within which these objectives should be achieved is also fixed. Goals or objectives are expressed in a meaningful manner.

3. Fixing Key Result Areas

Key result areas are fixed on the basis of organisational objectives premises. Key Result Areas (KRA) are arranged on a priority basis. KRA indicates the strength of an organisation. The examples of KRA are profitability, market standing, innovation etc.

12th Commerce Unit 1.indd 17 09-12-2021 11.18.54 AM